

the type of upward sales curve that I stated was the first requisite of an outstanding investment.

Motorola has made itself an outstanding leader in the field of two-way electronic communications that started out as a specialty for police cars and taxicabs, and now appears to offer almost unlimited growth. Trucking companies, owners of delivery fleets of all types, public utilities, large construction projects, and pipe lines are but a few of the users of this type of versatile equipment. Meanwhile, after several years of costly developmental effort, the company has established a semi-conductor (transistor) division on a profitable basis which appears headed toward obtaining its share of the fabulous growth trend of that industry. It has become a major factor in the new field of stereophonic phonographs and is obtaining an important and growing new source of sales in this way. By a rather unique style tie-in with a leading national furniture manufacturer (Drexel), it has significantly increased its volume in the higher-priced end of its television line. Finally, through a small acquisition it is just getting into the hearing-aid field and may develop other new specialties as well. In short, while some time in the next decade important major stimulants may cause another large spurt in its original radio-television lines, this has not happened yet nor is it likely to happen soon. Yet management has taken advantage of the resources and skills within the organization again to put this company in line for growth. Is the stock market responding to this? When I finished writing the original edition, Motorola was 45½. Today it is 122.

When the investor is alert to this type of opportunity, how profitable may it be? Let us take an actual example from the industry we have just been discussing. In 1947 a friend of mine in Wall Street was making a survey of the infant television industry. He studied approximately a dozen of the principal set producers over the better part of a year. His conclusion was that the business was going to be competitive, that there were going to be major shifts in position between the leading concerns, and that certain stocks in the industry had speculative appeal. However, in the process of this survey it developed that one of the great shortages was the glass bulb for the picture tube. The most successful producer appeared to be Corning Glass Works. After further examination of the technical and research aspects of Corning Glass Works it became apparent that this company was unusually well qualified to produce these glass bulbs for the television industry. Estimates of the possible market indicated that this would be a major source of new